FINANCIAL ACCOUNTING & REPORTING

Suggested Answers
November-December 2025

Answer to the Question# 1 (a):

Under IAS 38 Intangible Assets, expenditure on the research phase must always be expensed. At this stage, there is no way to demonstrate that the entity controls a resource capable of producing probable future economic benefits, so the definition of an asset is not met.

Expenditure incurred during the development phase can be capitalised only if all six criteria in IAS 38 are satisfied (technical feasibility, intention to complete, ability to use or sell, probable future benefits, availability of resources, and ability to measure costs reliably). The underlying Conceptual Framework principles are asset recognition and faithful representation: don't recognise something as an asset until it meets the definition and recognition criteria.

Answer to the Question# 1 (b):

IFRS 15 and IFRS 16 require that a sale is recognised only if control of the asset transfers. If a "sale-and-leaseback" leaves the seller–lessee with the significant risks and rewards of ownership (e.g. long-term repurchase options, below-market lease terms), the "sale" is in substance a financing transaction.

The asset stays on the seller–lessee's books; cash received is recognised as a financial liability, and lease payments are treated as interest and principal. This applies the Conceptual Framework's substance over form and faithful representation: users need to see the real economics, not the legal label.

Answer to the Question# 1 (c):

IAS 16 permits an entity to choose either the cost model or the revaluation model for classes of property, plant and equipment, but the policy must be applied to the entire class, not selectively to boost results. A change from cost to revaluation is not a change in accounting policy under IAS 8 but a permitted model choice.

The switch must be justified, applied consistently, and disclosed with revaluation surplus shown in equity. The underlying principles are comparability, consistency, and faithful representation.

Ethical dimension: avoid selective revaluation for "window dressing."

Answer to the Question# 1 (d):

Shifting from cash to accrual means transactions are recorded when they happen, not when cash moves. The government starts recognising assets, liabilities, revenues, and expenses on an economic-event basis. This brings in things like depreciation, receivables, payables, and employee benefit obligations that never appear under cash accounting.

The improvement comes from showing the government's real financial position—what it owns, what it owes, and what it has committed to. It also strengthens long-term planning because liabilities such as pensions or arrears can't be hidden. Overall, users get a more faithful, complete picture of financial performance and sustainability.

Answer to the Question# 1 (e):

A Tk. 70 million overspend signals weak expenditure control and requires justification to Parliament or oversight bodies. It raises questions about compliance with appropriation laws and whether the ministry acted within its authorised limits.

Good practice requires disclosure of the approved budget, final budget, actual expenditure, and explanations for significant variances. The report should explain operational reasons (e.g., emergency spending), management actions taken, and whether supplementary approvals were obtained. This helps ensure transparency and holds the ministry accountable for stewardship of public funds.

Answer to the Question# 2 (a):

Income statement of Kathmandu Limited for the year ended on 31 December 2024 translated using the average exchange rate (Rs. 1.8 = Tk.1)

	Tk.
Profit before tax	105,556
Tax	(52,778)
	52,778

Dhaka Limited and its subsidiary
Consolidated income statement for the year ended 31 December 2024

		Tk.
Profit before tax	Tk. [250,000 + 105,556]	355,556
Tax	Tk. [125,000 + 52,778]	(177,778)
		177,778

The statement of financial position of Kathmandu Limited at 31 December 2024, other than share capital and reserves, should be translated at the closing rate of Rs. 1.3 = Tk. 1

Summarized statement of financial position of Kathmandu Limited in Tk. at 31 December 2024

	Tk.	Tk.
Non-current assets (carrying amount)		326,923
Current assets		
Inventories	173,077	
Receivables	88,462	
		261,538
		588,462
Non-current liabilities		192,308
Current liabilities		134,615
Equity		261,538
		588,462

Since Dhaka Limited acquired the whole of the issued share capital on incorporation, the post-acquisition reserves including exchange differences will be the value of shareholders' fund arrived at above, less the original cost to Dhaka Limited of Tk. 75,000 (i.e., Rs. 337,500 at the historic exchange rate of Tk. 1 = Rs. 4.5). Post-acquisition increase in equity = Tk. 261,538 - Tk. 75,000 = Tk. 186,538

Summarized consolidated statement of financial position as at 31 December 2024

		Tk.	Tk.
ASSETS			
Non-current assets (NBV)	Tk. [475,000 + 326,923]		801,923
Current assets			
Inventories	Tk. [245,000 + 173,077]	418,077	
Receivables	Tk. [165,000 + 88,462]	253,462	
			671,538
TOTAL ASSETS			1,473,462
EQUITY AND LIABILITIES			
Equity			
Ordinary share of Tk. 100			450,000
Retained earnings	Tk. [325,000 + 186,538]		511,538
			961,538
Non-current liabilities: Loan	Tk. [65,000 + 192,308]		257,308
Current liabilities	Tk. [120,000 + 134,615]		254,615

TOTAL EQUITY AND LIABILITIES	1,473,462

Answer to the Question# 2 (b):

Calculation of exchange differences

	Tk.
Kathmandu Limited's equity interest at 31 December 2024	261,538
Equity at interest at 1 January 2024 [Rs. 245,000 /2.25]	(108,889)
	152,650
Less: retained profit	(52,778)
Exchange gain	99,872

Statement of comprehensive income for the year ended 31 December 2024

	Tk.
Profit after tax	177,778
Exchange difference on translation of foreign operations	99,872
Total comprehensive income for the year	277,650

Note:

The post-acquisition reserves of Kathmandu Limited at the beginning of the year must have been Tk. 177,778 - Tk. 75,000 = Tk. 102,778 and the post-acquisition reserves of Dhaka Limited must have been Tk. 325,000 - Tk. 150,000 = Tk. 175,000 The consolidated post-acquisition reserves must therefore have been Tk. 277,778

Answer to the Question# 3 (a):

Date	Particulars	Debit (Tk.)	Credit (Tk.)
01 Dec 2024	Advance to Supplier	7,230,000	
	Bank		7,230,000
31 Mar 2025	Capital Work in Progress	24,400,000	
	Advance to Supplier		7,230,000
	Bank		9,760,000
	Accounts Payable		7,320,000
	Exchange Gain/Loss		90,000
30 Jun 2025	Exchange Gain/Loss	18,000	
	Accounts Payable		18,000
31 July 2025	Vehicle/PPE	24,400,000	
	Capital Work in Progress		24,400,000
31 July 2025	Accounts Payable	7,338,000	
	Exchange Gain/Loss		12,000
	Bank		7,326,000

Answer to the Question# 3 (b) (i):

Date	Particulars	Debit (Tk.)	Credit (Tk.)
01 Jan 2025	**Revenue**	**103,804**	
	Accounts Receivable		**103,804**
(Correction Entry to rectify the recognition of revenue. Not appropriate to recognise Tk. 500,000 on delivery as payment is deferred by 3 years. IFRS 15 requires the transaction price to be adjusted for a significant financing component. The transaction price is the present value of the promised consideration at the point control transfers. Present Value of Consideration is Tk. 396,916)			
01 Jan 2025	**Contract Assets**	**25,000**	
	Commission Expense		**25,000**
(The Tk.25,000 is an incremental cost of obtaining the contract. As the entity expects to recover it, IFRS 15 requires capitalisation and amortisation over the period of benefit (in this case the financing/contract period). So, capitalise and amortise — not expense immediately — assuming benefit > 12 months.)			
31 Dec 2025	**Amortization Expense**	**8,333**	
	Contract Assets		**8,333**

Date	Particulars	Debit (Tk.)	Credit (Tk.)
(Amortisation of capitalised commission — straight-line over 3 years)			
31 Dec 2025	**Accounts Receivable**	**31,753**	
	Interest Income		**31,753**
{Recognition of interest income each year (effective interest)}			

Answer to the Question# 3 (b) (ii):

Date	Particulars	Debit (Tk.)	Credit (Tk.)
30 Jun 2025	**Accounts Receivable**	**15,714,285**	
	Revenue		**15,714,285**

(For performance obligations satisfied over time, IFRS 15 requires recognising revenue based on progress (e.g., cost-to-cost) Recognising revenue only when cash is received is incorrect. Total revenue as per IFRS 15 is Tk. 25,714,285 among which Tk. 10,000,000 already recognized)

30 Jun 2025	**Cost of Sales**	**18,000,000**	
	Inventory		**18,000,000**

(This moves the costs out of inventory to match revenue recognition over time.)

Answer to the Question# 4 (a):

(i) The inventory is not a financial instrument as it is a physical assets. Gurdian Ltd should record a trade payable in its financial statements, which is a financial liability as it has a contractual obligation to pay the amount in cash. Conversely, Omega Ltd records a trade receivable for Tk. 500,000, which is a financial assets as it has the contractual rights to receive cash.

(ii) Akhi Ltd has paid for services in advance. The Tk. 200,000 should be recorded as a prepayment. The future economic benefits is the right to resolve services rather than cash, ordinary shares or another financial assets. Therefore, prepayments are not financial instruments.

(iii) The declaration of the dividend creates a contractual obligation to pay Tk. 500,000 to the shareholders which is a financial liability. This is a financial instrument which is a financial asset of Shakti Ltd as it has the contractual rights to receive that amount.

(iv) Tally Ltd has entered into a forward currency contract. The contract is a derivative financial instrument as it is linked to an underlying variable (the US$/Tk. Exchange rate), which requires no initial investment and is due for settlement in six months time. It will have no value at inception and so it is neither an asset nor liability at inception

(v) The ordinary shares are an equity instrument of Wellbeing Ltd as it gives the holder a residual interest in the assets of Wellbeing Ltd after deducting the liabilities. The ordinary shares are a financial assets of KM Ltd.

(vi) Brown Ltd has entered into a mortgage. The contractual obligation to repay Tk. 2 million to Yellow Ltd is a financial liability. Yellow Ltd has a financial asset as it has the contractual right to receive Tk. 2 million cash.

Answer to the Question# 4 (b):

Bold Ltd
Extracts of financial statements for the year ended 31 May

	2023	2024	2025	2026
	Tk.	Tk.	Tk.	Tk.
Income statement				
Impairment expenses (N-2)	-	(67,545)	-	-
Finance income	73,500	57,645	56,952	29,448
Statement of financial position				
Non-current assets				
Financial assets	581,145	420,552	-	-
Current assets				

Financial assets	242,355	393,048	420,552	-

Statement of cash flows

Cash flow from operating activities				
Interest received (N-4)	73,500	-	56,952	29,448
Cash flows from financing activities				
Loan advance	(1,050,000)	-	-	-
Repayment of advances (N-4)	226,500		393,048	420,552

Working notes:

N-1: Amortized cost

Year ending 31-May	Opening balance	Finance income @ 7%	Payment	Closing balance
	Tk.	Tk.	Tk.	Tk.
2023	1,050,000	73,500	(300,000)	823,500
2024	823,500	57,645	-	881,145

N-2: Impairment expenses

Year ending 31-May	Future cash flows	DF @ 7%	Present value
	Tk.	Tk.	Tk.
2025	450,000	0.9346	420,570
2026	450,000	0.8734	393,030
			813,600
Current carrying amount			881,145
Impairment loss			67,545

N-3: Revised amortized cost

Year ending 31-May	Opening balance	Finance income @ 7%	Payment	Closing balance
	Tk.	Tk.	Tk.	Tk.
2025	813,600	56,952	(450,000)	420,552
2026	420,552	29,448	(450,000)	-

N-4: Cash is received at year end and is treated first of all as a repayment of interest. The remaining amount received is then treated as repayment of capital

N-5: Split of loan receivables

		Current	Non-current	Total
		Tk.	Tk.	Tk.
2023	300,000 - 57,645	242,355	581,145	823,500
2024	450,000 - 56,952	393,048	420,552	813,600

The loan should be initially recognized at fair value including transaction cost. Transaction costs are those directly attributable costs incurred specifically as part of acquiring the financial assets. Apportioned internal costs, such as treasury team time, would have been incurred anyway and should not be included. The loan should be measured on initial recognition at Tk. 1,050,000 (Tk. 1,000,000 plus Tk. 50,000 professional fees).

The required accounting treatment is to use the amortized cost method with the effective interest rate.
Amortized cost is:

- The initial amount recognized for the financial assets
- Plus any amortization
- Less any repayment

Amortization is calculated by applying the effective interest rate (7%) to the carrying amount at the start of the accounting period.

At the end of each year, Bold Ltd is required to determine whether any objective evidence of impairment exists. The failure of Heroic Ltd to make the required payment on 31 May 2024 and the new terms granted are effective evidence of impairment.

The impairment should be calculated by comparing the amortized cost at that date with the present value of the agreed future cash flows discounted at the original effective interest rate. This should be recognized in profit or loss. Subsequent interest income should be calculated by applying the original effective interest rate to the revised carrying amount.

Answer to the Question# 5 (a):

Dhaka Group
Consolidated statement of financial position at 30 June 2024

	Tk. in million
Intangibles - goodwill	3,500
Sundry assets	39,450
	42,950
Equity attributable to owners of parent	
Share capital (Tk. 10 ordinary shares)	8,000
Retained earnings (from Consolidated Statement of Changes in Equity)	16,450
	24,450
Non-controlling interest (from Consolidated Statement of Changes in Equity)	12,000
Total equity	36,450
Liabilities	6,500
	42,950

Consolidated statement of profit or loss for the year ended 30 June 2024

	Tk. in million
Continuing operation	
Profit before tax (Note 2)	12,950
Income tax expenses (Note 2)	(5,400)
Profit for the year from continuing operation	7,550
Discontinuing operation	
Profit for the year from discontinuing operation [1,238 (note 4) + 3,321 (note 5)]	4,559
Profit for the year	12,109
Profit attributable to:	
Owners of Dhaka Limited (Balancing figure)	9,485
Non-controlling interest [2,500 other subsidiaries + 124 (Note 3)]	2,624
	12,109

Consolidated statement of changes in equity for the year ended 30 June 2024

	Dhaka Limited				
	Attributable to owners of Dhaka Limited			Non-controlling interest	Total
	Share capital	Retained earnings	Total		

	Tk. in million	Tk. in million	Tk. in million	Tk. in million	Tk. in million
Balance b/f (note 7 and note 8)	8,000	6,965	14,965	9,985	24,950
Total comprehensive income for the year	-	9,485	9,485	2,624	12,109
Eliminated on disposal of subsidiary (note 5)	-		-	(609)	(609)
Balance c/f	8,000	16,450	24,450	12,000	36,450

Working notes:

Note 1

Group structure:



Note 2

Consolidated schedule for Consolidated Statement of Profit or Loss

	Dhaka Group Tk. in million	Consol Tk. in million
Profit before tax	12,950	12,950
Tax	(5,400)	(5,400)

Note 3

Non-controlling interest in Sylhet Limited for Consolidated P&L

	Tk. in million
1,238 (Note 4) x 10%	124

Note 4

Profit of Sylhet Limited for the year to disposal

	Tk. in million
Profit after tax	1,650
x 9/12	1,238

Note 5

Profit on disposal of Sylhet Limited for consolidated P&L

	Tk. in million	Tk. in million
Sale proceeds		8,890
Less: Carrying amount of goodwill at the date of disposal		
Consideration transferred	3,440	
Non-controlling interest at acquisition (3,700 x 10%)	370	
Less: net assets at acquisition (3,000+700)	(3,700)	
Goodwill at acquisition	110	
Less: impairment to date	(20)	
		(90)
Less: Carrying amount of net assets at disposal (note 6)		(6,088)
Add back: NCI in net assets at date of disposal (6,088 x 10%)		609

Profit on disposal	3,321

Note 6
Net assets at disposal

	Tk. in million
Share capital	3,000
Retained earnings b/f	1,850
Profit for the year to disposal (Note 4)	1,238
	6,088

Note 7
Group retained earnings b/f for consolidated statement of changes in equity

	Tk. in million
Dhaka Group	5,950
Sylhet Limited [90% x (1,850 - 700)]	1,035
Goodwill impairment to date	(20)
	6,965

Note 8
Non-controlling interest b/f for consolidated statement of changes in equity

	Tk. in million
Sylhet Limited [(3,000+1,850)x10%] = 485 + other subsidiaries 9,500	9,985

Answer to the Question# 5 (b):

The separation of information about discontinued activities benefits users of financial statements by providing them with information about continuing operations which they can use as the basis for predicting the future cash flows, earnings-generating capacity and financial position. Management is therefore faced with the temptation to classify continuing, but underperforming operations as discontinued, so that their performance does not act as a drag on the figure used as a basis for future prediction. This is why the definition of a discontinued operation is so important, but applying that definition requires difficult judgements.

Consider the following examples:
- The abrupt cession of several products within an ongoing line of business: presumably a line of business must be defined by reference to the requirement in the definition for a component to be 'distinguished operationally and for financial reporting purposes'. But how many products have to be stopped before the line of business itself is stopped?

- Selling a subsidiary whose activities are similar to those of other group of companies: how should 'similar' be defined?

Answer to the Question# 6 (a):

(i)

Temporary Deference	Taxable (Deductible) Amount	Tax Rate	Deferred Tax	
			(Asset)	Liability
Equipment	120,000,000	40%		48,000,000

Deferred Tax Expense	48,000,000	
Non-current liabilities		
Deferred tax liability		48,000,000
Income statement		
Income Taxes Expense:		
Current	130,000,000	
Deferred	48,000,000	

(ii)

Deferred Tax Expenses	Dr.	48,000,000
Deferred Tax Liability	Cr.	48,000,000

Income Tax Expenses	Dr.	130,000,000
Income taxes Payable	Cr.	130,000,000

(iii) *130,000,000 taxes due for 2024 + 40% 2024 tax rate = 325,000,000 taxable income for 2024.*

Taxable income for 2024		325,000,000
Add: Tax Depreciation		240,000,000
Less: Accounting Depreciation		(120,000,000)
Income Before Tax		445,000,000

Income tax expense		
Current	130,000,000	
Deferred	48,000,000	178,000,000
Net income		267,000,000

Solving for X: X – 120,000,000= 325,000,000. X = 445,000,000 pretax financial income.

	Book depreciation	Tax Depreciation	Difference
2024	120,000,000	240,000,000	120,000,000
2025	120,000,000	144,000,000	24,000,000
2026	120,000,000	86,400,000	33,6000,000
2027	120,000,000	64,800,000	55,200,000
2028	120,000,000	64,800,000	55,200,000
Total	600,000,000	600,000,000	0

(600,000,000-0) × (1/5) × 2
(600,000,000-240,000,000-144,000,000-86,400,000)/2 yrs.

(iv)

Temporary Deference	Future Taxable (Deductible) Amount	Tax Rate	Deferred Tax (Asset)	Deferred Tax Liability
Depreciation	144,000,000	40%		57,600,000
Unearned rent	(75,000,000)	40%	(30,000,000)	
Unearned rent	(75,000,000)	40%	(30,000,000)	
Total	(6,000,000)		(60,000,000)	57,600,000

Temporary Difference	Resulting Deferred Tax (Asset)	Liability
Depreciation		57,600,000
Unearned rent	(30,000,000)	
Unearned rent	(30,000,000)	
Totals	(60,000,000)	57,600,000

Other assets (non-current)
Deferred tax asset 2,400,000

(v)

Income Tax Expense	104,000,000	
Deferred Tax Asset	60,000,000	
Income Taxes Payable.		104,000,000
Deferred Tax Liability.		9,600,000
Deferred Tax Income		50,400,000

(vi) 104,000,000 taxes due for 2025/40% 2025
tax rate = 260,000,000 taxable income for 2025.

Taxable income for 2025		260,000,000
Tax rate for 2025.		40%
Income taxes payable for 2025		104,000,000
Deferred tax asset at the end of 2025		60,000,000
Deferred tax asset at the beginning of 2025		0
Deferred tax benefit for 2025 (increase in deferred tax asset)		(60,000,000)
Deferred tax expense for 2025 (24,000,000×.40)		9,600,000
Deferred tax benefit for 2025		(60,000,000)
Current tax expense for 2025 (Income taxes payable)		104,000,000
Income tax expense for 2025		53,600,000
Income before income taxes		134,000,000
Income tax expense		
Current	104,000,000	
Deferred	(50,400,000)	53,600,000
Net income		80,400,000

Answer to the Question# 6 (b)(i):

Schedule A

Item	On hand Quantity	Cost	NRV	Lower-of-cost or NRV
A	1,100	Tk. 7.50	Tk. 9.00	Tk. 7.50
B	800	8.20	8.10	8.10
C	1000	5.60	5.45	5.45
D	1000	3.80	4.50	3.80
E	1400	8.40	6.00	6.00

Schedules- B

Item	Cost	Lower-of-Cost-or-NRV	Difference
A	1,100× Tk.7.50 = Tk.8,250	1,100×Tk.7.50 = Tk.8,250	None
B	800 × Tk.8.20 = Tk.6,560	800× Tk.8.10 = Tk.6,480	Tk. 80
C	1,000× Tk.5.60 =Tk.5,600	1,000× Tk.5.45= Tk.5,450	Tk.150
D	1,000× Tk.3.80 =Tk.3,800	1 ,000 × Tk.3.80 = Tk.3,800	None
E	1,400× Tk.6.40 = Tk.8,960	1,400×NT Tk.6.00= Tk.8,400	Tk.560
			Tk 790

Answer to the Question# 6 (b)(ii):

After you have aggregated the total lower-of-cost-or-net realizable value for all items, you will be likely to have a loss on inventory which must be accounted for. In our example, the loss is Tk.790. This can be journalized in one of two ways:

Cost of Goods Sold.....	790	
Allowance to Reduce Inventory to NRV.		790

OR

Loss Due to Decline of Inventory to NRV...	790	
Allowance to Reduce Inventory to NRV.		790

---The End---